19 The information provided below was obtained from Q's bookkeeping records on 30 June 2022.

(i) Prepare the following financial statements for Q, in a form suitable for publication:

- Statement of profit or loss [6]
- Statement of changes in equity [2]
- Statement of financial position. [6]

(ii) Discuss:

(a) the difficulties associated with determining the estimated useful life of the patent rights.

(b) the implications of any error in the assumed life of 20 years.

[6]
[Total 20]

Q
Trial balance as at 30 June 2022

	$000	*$000*
Advertising costs	2,300	
Bank	450	
Clerical staff salaries	4,200	
Cost of goods sold	8,200	
Directors' remuneration	2,700	
Dividends paid	300	
Interest on long-term loans	120	
Inventory	1,890	
Long-term loans		1,030
Manufacturing wages	1,120	
Patent rights – accumulated amortisation		356
Patent rights – cost	7,120	
Property, plant and equipment – accumulated depreciation		5,144
Property, plant and equipment – cost	21,230	
Retained earnings		4,950
Revenue		45,628
Sales staff salaries	8,300	
Selling expenses	1,778	
Share capital		5,000
Share premium		2,200
Trade payables		600
Trade receivables	5,200	
	64,908	**64,908**

The tax bill for the year has been estimated at $4,100,000.

The patent rights were purchased at the start of the financial year. Q manufactures electronics and the company paid $7,120,000 for the right to use a patented manufacturing process for 20 years. The cost of that investment is being written off (or amortised) on the assumption that the intangible asset will have a useful life of 20 years.

20 M is a quoted mining company that owns the rights to mine for ore in a developing country. The company has discovered a large deposit in a remote area that is close to a vast government-owned wildlife park. M's directors are considering building a mine to extract this deposit.

Opening up the ore deposit will cost $900 million and will require many thousands of tonnes of soil and rock to be dumped nearby. If the ore is found to be of good quality then it will be extracted by digging out a strip of land covering an area of 400 hectares and reaching a depth of hundreds of metres.

M will build a railway link from the mine to the nearest seaport 120 kilometres away so that it can export the ore by ship for processing into metal. The government has given permission for the railway to pass through the wildlife park.

The total investment in the mine will be $4.5 billion, including the initial opening up of the land, the heavy equipment that will be required and the railway line, locomotives and wagons.

(i) Discuss the distinction between systematic and unsystematic risk and the relevance to M's share price of that distinction in evaluating the company's prospective investment in this mine. [7]

(ii) Evaluate the agency issues associated with M's directors' decision to proceed with this project to extract the ore. [7]

(iii) Discuss the ethical implications of M's decision to proceed with this mine. [6]

[Total 20]

END OF PAPER